of the past are found to have pursued a well-defined life cycle, consisting first of a series of struggles and setbacks; second, of a halcyon period of prosperity and persistent growth; which in turn passes over into a final phase of supermaturity—characterized by a slackening of expansion and perhaps an actual loss of leadership or even profitability.[1] It follows that a business that has enjoyed a very long period of increasing earnings may *ipso facto* be nearing its own "saturation point." Hence the seeker for growth stocks really faces a dilemma; for if he chooses newer companies with a short record of expansion, he runs the risk of being deceived by a temporary prosperity; and if he chooses enterprises that have advanced through several business cycles, he may find this apparent strength to be the harbinger of coming weakness.

We see, therefore, that the identification of a growth company is not so simple a matter as it may at first appear. It cannot be accomplished solely by an examination of the statistics and records but requires a considerable supplement of special investigation and of business judgment. Proponents of the growth-company principle of investment are wont currently to lay great emphasis on the element of industrial research. In the absence of *general* business expansion, exceptional gains are likely to be made by companies supplying new products or processes. These in turn are likely to emerge from research laboratories. The profits realized from cellophane, ethyl gas and various plastics, and from advances in the arts of radio, photography, refrigeration, aeronautics, etc., have created a natural enthusiasm for research as a business asset and a natural tendency to consider the possession of research facilities as the *sine qua non* of industrial progress.

Still here, too, caution is needed. If the mere ownership of a research laboratory could guarantee a successful future, every company in the land would have one. Hence, the investor must pay heed to the kind of facilities owned, the abilities of the researchers and the potentialities of the field under investigation. It is not impossible to study these points successfully, but the task is not easy, and the chance of error is great.

3. *Does the Price Discount Potential Growth?* The third source of difficulty is perhaps the greatest. Assuming a fair degree of confidence on

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[1] This characteristic pattern of successful enterprise is discussed at length in the 1938 report of National Investors Corporation, pp. 4–6.